



4.3 Global Marketing

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Glocalisation

- **Global marketing strategy** is the process of planning, producing, placing and promoting a business's product or service in the global market
- **Glocalisation** is a strategy where businesses aim to reach customers globally and also take into consideration the needs of the local market
 - The saying "think global, act local" is used to describe the strategy of glocalisation

Different marketing approaches

- There are several **marketing approaches** that a business can take when it comes to expanding its operations to other countries or regions
- The three main approaches are:
 - Domestic/ethnocentric
 - Mixed/geocentric
 - International/polycentric

The domestic/ethnocentric approach

- Businesses see the domestic market and foreign markets as very similar
- This approach is **based on the belief** that the company's home country culture and marketing practices **are superior** to those of other countries
- There will be no changes to the products for overseas customers, and marketing of the product will be the same
 - E.g. Apple sells standardised products across global markets, e.g. iPhones and iPads, which helps the company reduce costs, as it can benefit from economies of scale

Advantages and disadvantages of the ethnocentric approach

Advantages	Disadvantages
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Your notes

▪ Businesses can benefit from economies of scale, as the product is standardised and produced on a large scale ▪ Costs are also lower, as there is no investment into product development to adapt products for different markets	▪ The business could potentially lose sales, as the product is not tailored to the needs and wants of markets overseas ▪ This approach can lead to cultural insensitivity and may not resonate with local customers in other countries
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Polycentric/international approach

- Businesses adapt their marketing strategy by **tailoring their products** to the local market
- A business treats **each country as a unique market** and develops a customised **marketing mix** for each market
 - E.g. KitKat (Nestle) has developed different adaptations of the chocolate to reach different consumers in the international market
 - The packaging of KitKats in Japan was changed to include cherry blossoms, a symbol of good luck
 - Additional flavours, such as purple sweet potato and matcha powder, were included to appeal to the tastes of the local market

Advantages and disadvantages of the polycentric approach

Advantages	Disadvantages
▪ Sales are likely to increase, as the product is tailored to meet the needs of customers ▪ This helps to develop brand loyalty in overseas markets	▪ Product development to adapt the product may increase average unit costs ▪ There will also be additional costs in market research to find out about other markets

The geocentric/mixed approach

- This strategy is a mix of the polycentric and ethnocentric approaches
- This approach utilises the benefits of **standardised products** but also tailors products to meet the needs of **local markets overseas** while maintaining a **consistent brand image** across markets
 - E.g. McDonald's has a geocentric approach by adapting its menu to meet the tastes and cultures of different overseas markets
 - McDonald's does not offer beef or pork in India due to religious reasons. However, in the majority of Western countries, McDonald's has standardised products such as

Advantages and disadvantages of the geocentric approach

Advantages	Disadvantages
- Sales are likely to increase, as the product is tailored to meet the needs of customers - This helps to develop brand loyalty in overseas markets	There will be costs associated with product development and changes required to meet the needs of the local markets



Examiner Tips and Tricks

The question can ask you to recommend which type of approach a business should take when expanding abroad. You should take into account the best approach for the type of business that is being considered in the extracts.

Adapting and applying the marketing mix to global markets

- The **marketing mix** is the set of controllable marketing tools that a company uses to promote its brand or product in a market
 - It consists of the four Ps — **product, price, place** and **promotion**
- Businesses have to adapt their marketing mix to overseas markets to ensure the success of their product/service
- By adapting the marketing mix to **meet local needs**, companies can effectively **penetrate global markets** and build a strong global brand

Adapting the marketing mix to global markets

Place	Product
- Businesses have to identify the best channel of distribution to get the product/service to the customer in a particular market - They also need to consider the available technology, as many transactions take place via e-commerce	- Businesses need to consider how much they should modify or adapt their products to meet the demands of markets overseas - They need to consider whether they will take an ethnocentric, polycentric or geocentric approach
Price	Promotion



- | | |
|---|---|
| <ul style="list-style-type: none">When making pricing decisions, businesses must consider customer incomes, costs of production and taxesThey must also consider the stage of the product life cycle the product is at within that marketThe state of the economy (recession or boom) will also impact the pricing strategy<ul style="list-style-type: none">E.g. in 2022, a Coke in Finland was \$2.42, whereas in Egypt, it was \$0.18 | <ul style="list-style-type: none">Promotion needs to be adapted to meet the language and cultural differencesBusinesses must aim to choose the most effective method of promotion to promote products in that market<ul style="list-style-type: none">E.g. social media may be an effective marketing tool in some markets but less effective in others |
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Adapting and applying Ansoff's matrix to global markets

- Ansoff's matrix** is a strategic planning tool that helps businesses **identify potential growth opportunities** by analysing their product and market strategies
 - The matrix consists of four growth strategies — market penetration, market development, product development and diversification
- Expanding outside domestic markets **generates risks for a business**, so it needs to ensure that it adopts the right strategy
 - By doing so, businesses can effectively **penetrate global markets** and achieve long-term success

Ansoff's matrix

	EXISTING PRODUCTS	NEW PRODUCTS
EXISTING GLOBAL MARKETS	Market penetration	Product development
NEW GLOBAL MARKETS	Market development	Diversification

Market penetration

- This strategy focuses on selling **existing products in existing markets**
 - Carries **the least risk** — if a business already operates in a market and launches another product, customers are already familiar with the business

Market development



Your notes

- This strategy focuses on **selling existing products in new markets**
 - Businesses may have to adapt their product to meet the needs and **different preferences** of customers in global markets
 - This strategy carries **more risk**, as customers may not understand a business's product
 - **E.g. Tesco opened stores in China and later had to withdraw from the market, as the company lacked understanding of Chinese consumer habits**

Diversification

- This strategy involves businesses developing **new products for new markets**
- This is a high-risk strategy, as the business may have **limited knowledge** about the new market
- This strategy requires a deep understanding of **local market conditions** and consumer behaviour to ensure that the new product and market are a good fit for the business

Product development

- A growth strategy where a business aims to **introduce new products to existing markets**
- This requires market research to identify the target market's needs and preferences, developing products that meet those needs and **adapting the business's marketing mix** to ensure that the products resonate with local consumers



Examiner Tips and Tricks

In Paper 1, you are often required to make links between Theme 1 and Theme 4. When you have questions on marketing, refer to the marketing strategies and concepts from other sections of the course to explain the different approaches a business may undertake when expanding into an international market.



Cultural diversity

- **Cultural diversity** recognises the ideas, customs and social behaviour of a particular people or society in different global markets
- Businesses need to **take into account the different cultural behaviours** and customs when operating in overseas markets
 - E.g. in India, beef and pork are not consumed for religious reasons. Fast food outlets have adapted their menus to take this into consideration
 - E.g. in the United Arab Emirates, there are rules around the consumption of alcohol that businesses need to adhere to

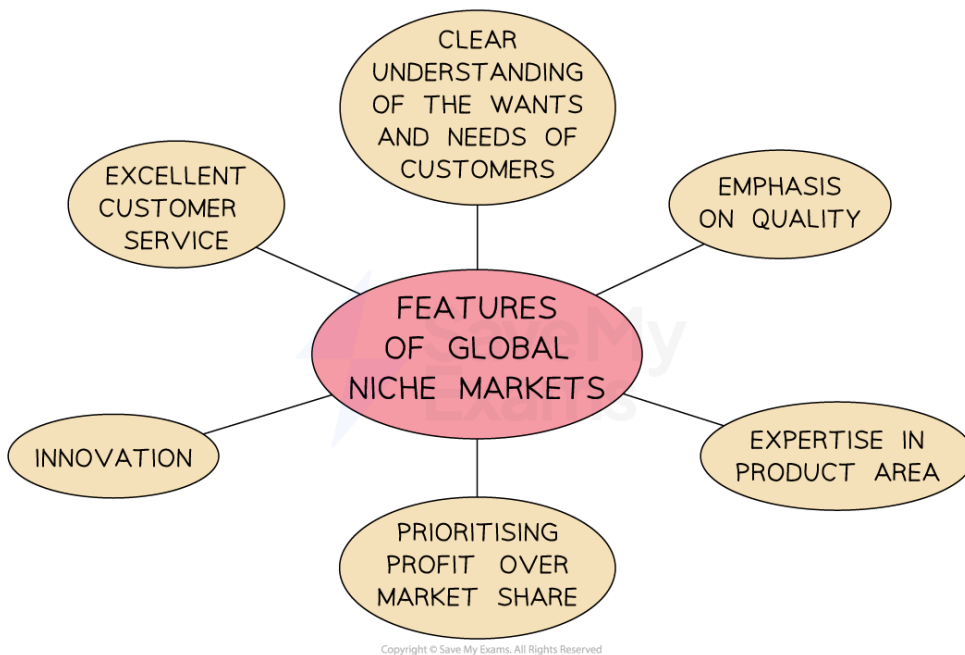
Features of global niche markets

- **Global niche markets** are small segments of the global market that are characterised by **unique and specific needs** and preferences
- Groups of customers within these markets are sometimes referred to as **subcultures**
- These groups may be very small within an individual country; however, when **combined across the world**, the number of customers may be significant
 - E.g. halal products are produced and prepared according to Islamic laws and regulations
 - They are in high demand in Muslim-majority countries, and businesses that offer halal products can tap into this market and cater to the specific needs of Muslim consumers

Features of global niche markets



Your notes



Features of global niche markets include expertise in the product area and innovation

Excellent customer service

- As customers are usually paying higher prices for the product/ service, they expect exceptional customer service

Innovation

- Innovation ensures that products are highly differentiated and maintain a unique selling point (USP) that meets the needs of the target market

Prioritising profit over market share

- Niche markets are lucrative, so businesses can focus on increasing profits that they can reinvest into improving their products/services

Expertise in the product area

- Having employees who are highly skilled and keeping up to date with the latest developments within the niche market helps to build value for the customers

Emphasis on quality

- Businesses need to ensure the quality of their products is exceptional, as they are targeting wealthier customers who pay for high-value products

Clear understanding of the wants and needs of customers

- The business may have relatively few customers, so it needs to ensure that the needs and wants of these customers are fully understood

Adapting the marketing mix to suit global niches



Your notes

- Adapting the marketing mix to suit global niches involves **tailoring the 4 Ps of marketing (product, price, place, and promotion)** to meet the specific needs and preferences of a particular niche market

Product

- One way to adapt the product to suit a global niche market is to modify the features of the product to meet the specific needs of the target audience
 - E.g. a business that produces luxury watches can launch a line of **vegan watches** for consumers who are looking for high-quality and exclusive products that are also cruelty-free

Price

- Adapting the price to suit a global niche market involves offering a pricing strategy that is attractive to the target audience
 - E.g. a business that produces organic products can offer **competitive prices** similar to mainstream products to attract consumers who are looking for healthy and sustainable options
 - Alternatively, a business that produces **sustainable fashion** can offer a **premium price** that reflects the exclusive and high-quality nature of the product

Promotion

- Adapting the promotion to suit a global niche market involves using **marketing communication strategies** that resonate with the target audience
- E.g. a business that produces luxury products can use **influencer marketing** to communicate the exclusivity of the product to wealthy customers

Place

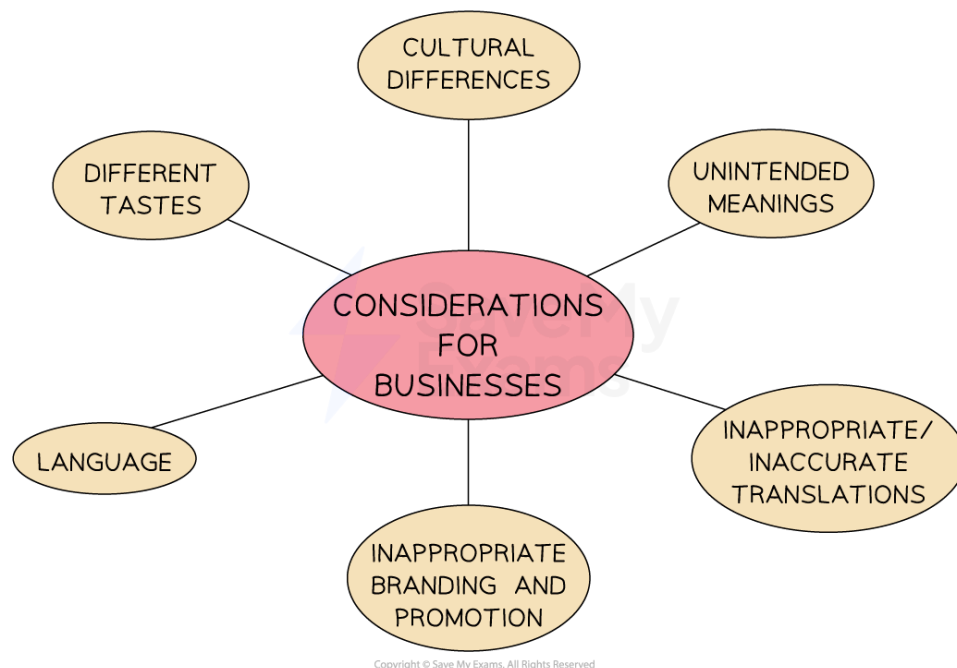
- Adapting the place to suit a global niche market involves choosing a **distribution strategy** that is convenient for the target audience
 - E.g. a business that produces gluten-free products can distribute them through local specialty stores and online platforms to reach customers



Factors to consider in global marketing

- Global businesses must consider various **cultural and social factors** to effectively market their products/services in different countries and regions

Cultural and social considerations



Cultural and social factors to consider in global markets include language differences and different tastes

- By understanding cultural differences, adapting to local tastes, using accurate translations and avoiding inappropriate branding and promotion, businesses can build strong relationships with their global customers and **achieve long-term success**

Explanation of cultural and social factors

Factor	Explanation
Cultural differences	- Businesses must be aware of how businesses and customers interact in new global markets - Businesses need to understand cultural differences in areas such as values, beliefs, customs and traditions and adapt their marketing strategies accordingly
Different tastes	Tastes and preferences vary greatly between cultures and regions



Your notes

	Businesses must ensure that their products and services are adapted to meet local preferences
Language	- Businesses must ensure that their marketing messages are translated accurately and appropriately - This involves understanding language nuances and idioms - E.g. when KFC entered the Chinese market, it translated its slogan "Finger-Lickin' Good" into Chinese as "Eat Your Fingers Off", which had negative connotations in the Chinese culture
Unintended meanings	- Unintended meanings can arise when businesses use images, symbols or language that have different connotations in different cultures - E.g. the colour white symbolises purity and innocence in Western cultures, but it represents death and mourning in some Asian cultures
Inappropriate or inaccurate translations	- Inappropriate or inaccurate translations can lead to serious consequences for businesses, including loss of credibility, legal implications and damage to brand reputation - Businesses must use professional translation services and consult with local experts to ensure that their messages are accurately translated and culturally appropriate
Inappropriate branding or promotion	- Inappropriate branding and promotion can occur when businesses use images, symbols or language that are offensive or inappropriate in different cultures - E.g. in 2018, a Dolce & Gabbana advert showed a Chinese model attempting and failing to eat various Italian dishes with chopsticks. People were outraged over the depiction of Chinese people as lacking refinement and an understanding of culture